

# Wabtec Meeting Briefing - Confidential - Prepared for Jamie

## MEETING BRIEFING: WABTEC PARTNERSHIP - CONFIDENTIAL

Prepared by: Michael, Chief Strategy Officer - RailVision Analytics

Prepared for: Jamie

Date: This Week

Classification: Confidential - Internal Use Only

**PURPOSE:** This briefing equips Jamie for the Wabtec partnership meeting with key discussion points, opportunities to highlight, anticipated concerns, and specific talking points - including responses to tough questions.

### DOCUMENT CONFIDENCE GUIDE:

? Verified - clearly supported by field data

~ Estimated - inferred from available information

? Requires validation - should not be presented as fact

## 1. YOUR 30-SECOND PITCH

"RailVision has proven 8%+ fuel savings on live revenue freight with VIA Rail and Vermont Rail using a tablet-based, zero-capex, gainshare model. We serve the 450+ shortline railroads that Trip Optimizer will never reach - and we're building toward yard optimization, a \$750M+ fuel market with zero incumbent solutions. We're asking for \$3M in bridge funding, Wabtec's brand credibility, and Class I access. In return, Wabtec gets a front-row seat - and an acquisition option - on the fastest path into two markets it currently can't serve."

## 2. KEY DISCUSSION POINTS

### DISCUSSION POINT 1: THE THREE UNSERVED MARKETS

Trip Optimizer dominates Class I mainline fuel optimization with 12,000+ installs. But three adjacent markets worth \$1.5B+ in annual fuel spend remain completely unserved. RailVision fills all three gaps without competing with Trip Optimizer.

? Gap 1 - Shortline Railroads: 450+ railroads, \$764M annual fuel spend. TO requires hardware integration, weeks-long install, and cost structures built for Class I scale. Shortlines will never adopt it. Status: PROVEN (VIA Rail, Vermont Rail).

? Gap 2 - Class I Yard Locomotives: 3,000+ switching locomotives, \$750M+ annual fuel spend. TO auto-control activates at 12mph; yard operations run below 10mph. TO has no idle optimization; switchers idle 60-80% of the time. Status: IN DEVELOPMENT.

? Gap 3 - Next-Gen AI Architecture: TO runs physics-based algorithms on embedded hardware. The industry is shifting to AI-native, cloud-first, continuously learning systems. RailVision gives Wabtec a path to lead that

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transition from within. Status: CORE ARCHITECTURE DEPLOYED.

## DISCUSSION POINT 2: COMPLEMENTARY, NOT COMPETITIVE

This is the single most important framing point. EcoRail does not compete with Trip Optimizer - it completes Wabtec's fuel optimization portfolio.

? Trip Optimizer: Hardware-integrated, weeks to install, physics-based, 10-15% savings, Class I mainline

? EcoRail: Tablet/iPad, 1-day install, LLM-powered, 8% savings, shortlines + yards, \$0 upfront

Key message: "A shortline railroad that can't afford Trip Optimizer isn't a lost Wabtec customer - they're a non-customer. We convert non-customers into the Wabtec ecosystem."

## DISCUSSION POINT 3: THE DEAL STRUCTURE

? What RailVision asks: \$3M bridge funding, brand credibility, Class I access, GIS/data integration

? What Wabtec gets: Shortline distribution (450+ railroads), yard optimization product, AI R&D pipeline, acquisition option (\$50M-\$100M)

? Frame as: Wabtec is buying an option, not making a bet. \$3M for a call option on \$22M+ ARR is asymmetric risk/reward.

## DISCUSSION POINT 4: GAINSHARE MODEL

? Customer pays \$0 upfront

? Railroad keeps 70% of documented fuel savings

? RailVision/Wabtec retain 30%

? 90-day implementation sprint

? Why this matters: Eliminates the #1 barrier to shortline technology adoption - cost.

## 3. OPPORTUNITIES TO HIGHLIGHT

### OPPORTUNITY 1: VIA RAIL RESULTS - YOUR CROWN JEWEL (? VERIFIED)

? 592 completed trips (May 2023 - September 2024)

? 8.29% average fuel savings - measured on live revenue freight, not simulated

? 61,950 gallons saved

? \$232,313 in documented value

? Routes: Toronto-Ottawa (277 mi), Toronto-Windsor (223 mi)

Talking point: "This isn't a simulation. This is 592 real trips with real fuel savings measured against real baselines."

### OPPORTUNITY 2: VERMONT RAIL - GAINSHARE MODEL VALIDATION (? VERIFIED)

? 8% fuel savings, active deployment

? Gainshare model validated - railroad pays nothing upfront

? Support of Vermont Rail President

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Talking point: "Vermont Rail validated that railroads will adopt when you remove the upfront cost barrier."

### **OPPORTUNITY 3: DEPLOYMENT SPEED AS STRUCTURAL ADVANTAGE (? VERIFIED)**

? 1 day to install vs. weeks/months for Trip Optimizer

? \$0 upfront vs. significant hardware capex

? Cloud-based with OTA continuous updates

Talking point: "A shortline with 15 locomotives and thin margins will never spend \$200K+ on Trip Optimizer hardware. They'll hand their engineer a tablet tomorrow."

### **OPPORTUNITY 4: SHORTLINE AGGREGATOR PIPELINE (~ ESTIMATED)**

? Genesee & Wyoming: 112 properties, ~500 locomotives, \$2.7M ARR potential

? OmniTrax: 22 properties, ~100 locomotives, \$600K ARR potential

? Watco Companies: 38 properties, ~150 locomotives, \$900K ARR potential

? Combined: 172 properties, ~750 locomotives, \$4.6M ARR potential

IMPORTANT: These are pipeline estimates, not contracted revenue. Be transparent about this.

### **OPPORTUNITY 5: YARD MARKET - ENTIRELY INCREMENTAL REVENUE (~ ESTIMATED)**

? \$60M+ annual savings opportunity from 8% yard fuel optimization

? \$18M+ ARR potential at 30% gainshare

? Yard features: AI throttle optimization, idle reduction intelligence, switching standardization, emissions compliance

IMPORTANT: Yard product is in development. Position as a joint opportunity, not a solved problem.

### **OPPORTUNITY 6: ASYMMETRIC RISK/REWARD FOR WABTEC**

? \$3M = ~0.01% of Wabtec's market cap (immaterial financial risk)

? Upside: Acquisition option on \$50M-\$100M asset + \$22M+ ARR in unserved markets

? Downside: \$3M loss - trivial writeoff

Talking point: "This is structured so Wabtec wins whether we stay independent or you acquire us."

## **4. POTENTIAL CONCERNS WABTEC MAY RAISE**

CONCERN 1: "Why can't Wabtec just build a lightweight version of Trip Optimizer?"

Severity: HIGH - This is likely their first instinct.

Your response: "You absolutely could. The question is whether you should. Building a tablet-based, gainshare product for shortlines means: (a) cannibalizing your own TO pricing power - if Class I's see a cheap version exists, they'll want it; (b) building a sales team that calls on 450 tiny railroads instead of 7 Class I's; (c) 18-24 months of development time. Or you invest \$3M in a team that's already deployed, already proven, and already has the relationships - and you get an acquisition option if it works."

CONCERN 2: "Will this cannibalize Trip Optimizer?"

Severity: HIGH - Wabtec will protect their installed base.

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Your response: "EcoRail serves railroads that Trip Optimizer was never designed for and will never reach. A shortline with 15 locomotives isn't going to install TO hardware - they either use EcoRail or they use nothing. We're not cannibalizing TO sales; we're monetizing a market TO can't address. The architectures are complementary by design."

CONCERN 3: "Your revenue projections look aggressive - especially the 2027 to 2028 jump."

Severity: MEDIUM-HIGH - Diligence teams will scrutinize this.

Your response: "I want to be transparent about confidence levels. 2026 (\$119K) is based on existing relationships. 2027 (\$1.25M) depends on GWRR converting. The 2028 jump to \$9M has two specific catalysts: GWRR's 112-property rollout reaching critical mass and 15-20 additional shortline customers. If GWRR doesn't convert, 2028 is more like \$4-5M. I'd rather give you honest ranges than a clean hockey stick."

CONCERN 4: "Is the yard product real or a concept?"

Severity: MEDIUM-HIGH - This is your largest ARR component.

Your response: "It's in active development. Our current system optimizes above 12mph; yard operations are predominantly below 10mph with different duty cycles - more idle management, more start-stop, less route optimization. We have the AI architecture to support it and a clear technical roadmap, but I won't tell you it's production-ready. Honestly, Wabtec's data infrastructure and domain expertise would significantly accelerate this."

CONCERN 5: "What exclusivity do we get for \$3M?"

Severity: MEDIUM - Wabtec will want maximum leverage.

Your response: "We're offering Class I channel exclusivity and an acquisition option at \$50M-\$100M. We need to maintain independence in the shortline market to build the customer base that makes us valuable. But Wabtec gets first-mover advantage, brand association, and the option to acquire the entire platform once it's de-risked."

CONCERN 6: "What happens if RailVision fails? We lose \$3M and brand association."

Severity: MEDIUM - Legitimate corporate risk question.

Your response: "\$3M is a small option premium for Wabtec. If we fail, you've lost a rounding error on your R&D budget and learned what doesn't work in shortline optimization. If we succeed, you've bought a \$50-100M asset for \$3M. The brand risk is manageable - we'd operate as a Wabtec-backed portfolio company, not a Wabtec product."

CONCERN 7: "Why do you need us? Why not just raise from VCs?"

Severity: LOW-MEDIUM - May come up as leverage question.

Your response: "We could raise VC money. But VCs don't give us Class I introductions, GIS data infrastructure, or the credibility that makes a shortline CFO say yes in one meeting instead of six. Wabtec's strategic value is worth more than the \$3M. That's why we're here instead of Sand Hill Road."

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CONCERN 8: "8% savings vs. Trip Optimizer's 10-15%."

Severity: LOW-MEDIUM - May be used to question technology quality.

Your response: "Trip Optimizer gets 10-15% on Class I mainline routes with full hardware integration. We get 8% with a tablet and zero capex. For a shortline, 8% savings with no upfront cost beats 15% savings they'll never buy. The relevant comparison isn't 8% vs. 15% - it's 8% of something vs. 15% of nothing."

## 5. SUGGESTED TALKING POINTS - MEETING FLOW

OPENING (First 5 Minutes) - Lead with proof, not the ask.

? DO NOT start with the funding request. Start with VIA Rail data.

? "Before I talk about what we're building, let me show you what we've already proven."

? Put the 592 trips / 8.29% / 61,950 gallons slide up first.

? Let the data create the pull before you make the pitch.

THE NARRATIVE (Minutes 5-25) - Walk through the three gaps.

? Frame: "Trip Optimizer is brilliant at what it does. We extend its reach into markets it was never designed for."

? Gap 1 (Shortline): Lead with the structural mismatch - hardware vs. software, capex vs. gainshare.

? Gap 2 (Yard): Be honest about development status. Position as a joint opportunity.

? Gap 3 (AI): Frame as insurance against disruption, not criticism of TO.

? Show the technology comparison table - reinforce "complementary, not competitive."

THE FINANCIALS (Minutes 25-30) - Present with confidence levels.

? Walk through the revenue trajectory with explicit confidence ratings.

? Emphasize: "The \$3M bridge gets us to breakeven by Q4 2027. After that, we're self-funding."

? If pressed on 2028+, show bottoms-up math (customers × locomotives × gallons × savings × gainshare %).

THE ASK (Minutes 30-35) - Make it clear and specific.

? \$3M bridge funding

? Wabtec brand credibility for shortline market entry

? Class I railroad introductions for yard product

? GIS and data infrastructure integration

? Frame acquisition option as Wabtec's upside: "This is structured so Wabtec wins either way."

THE CLOSE (Final 5 Minutes) - Don't leave without a next step.

? Reiterate asymmetric risk/reward: \$3M vs. \$22M+ ARR opportunity.

? Propose concrete next step: "I'd like to set up a technical deep-dive with your engineering team and a pilot proposal within 30 days."

? DO NOT leave the room without a specific follow-up on the calendar.

TONE AND BODY LANGUAGE:

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- ? Be confident on VIA Rail data - this is your strongest ground.
- ? Be honest about GWRR pipeline status and yard product maturity - this builds trust.
- ? Don't be defensive about 8% vs. 15% - reframe to total addressable value.
- ? If pressed hard on cannibalization, stay calm: "I understand the concern. Let me walk through why the economics actually protect TO."

## 6. RED LINES - Know Before You Walk In

KNOW YOUR WALK-AWAY POINTS BEFORE THE MEETING:

- ? Funding Amount: Minimum \$2.5M. Below \$2M won't reach breakeven - decline or restructure.
- ? Exclusivity: Offer Class I channel exclusivity only. Full market exclusivity for \$3M is too cheap.
- ? Acquisition Option: \$50M floor. Push back on anything below \$30M - it undervalues the platform.
- ? Brand Control: Co-marketing partnership, not white-label. Do not agree to absorb into Wabtec brand.
- ? Timeline: 12-month partnership evaluation period. Resist delays beyond 6 months to first milestone.
- ? IP Ownership: RailVision retains all IP. No IP transfer pre-acquisition under any circumstances.

## 7. FINANCIAL REFERENCE - Revenue Trajectory

REVENUE TRAJECTORY (from pitch deck):

- ? 2026: \$119K - GWRR early deployment (HIGH confidence)
- ? 2027: \$1.25M - Aggregator expansion (MEDIUM confidence)
- ? 2028: \$9.0M - Shortline market expansion (MEDIUM-LOW - depends on two catalysts)
- ? 2029: \$17.2M - Class I yard early adopters (SPECULATIVE)
- ? 2030: \$29.5M - Global expansion begins (SPECULATIVE)

RUNWAY & CAPITAL EFFICIENCY:

- ? Current burn rate: \$200K/month
- ? With \$3M funding: 18+ months to sustainability
- ? Breakeven: Q4 2027 at \$1.5M+ ARR

COMBINED ADDRESSABLE MARKET:

- ? Shortline ARR: \$4.6M (from top 3 aggregators alone)
- ? Yard ARR: \$18M+
- ? Combined: \$22M+ ARR opportunity

VALUATION TARGET:

- ? \$50M to \$100M based on 5-10x ARR
- ? Target: \$30M ARR by 2030

IMPORTANT NOTE: All projections beyond 2026 are estimates based on assumptions about customer conversion, deployment speed, and product development. Jamie should be transparent about confidence

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levels when presenting these figures.

### **8. FINAL STRATEGIC NOTE FROM THE CSO**

Jamie - your biggest asset in this meeting is honesty married to data.

The VIA Rail results are genuinely strong. The shortline gap is genuinely real. The yard opportunity is genuinely large. You don't need to oversell.

The places where you're tempted to stretch - GWRR as 'revenue,' yard product as 'ready,' 2028 projections as 'conservative' - are exactly the places where Wabtec's diligence team will probe hardest.

Be the founder who says: 'Here's what's proven, here's what's projected, and here's what's still being built.' That's the founder Wabtec will want to partner with.

The strategic logic of this partnership is sound. The risk/reward is genuinely asymmetric in Wabtec's favor - which is actually your selling point. Make sure they see it.

Good luck. You've got the data to back this up. Now go make the case.

- Michael, CSO